

SPIN-OFFS

World Wise

Double Barrel Names

ArcelorMittal. Tata Tetley. Tata-Daewoo. As Indian companies bought global brands, the names acquired a desi touch.

The Global Manager Indian managers are going global, especially as the world continues to flatten and, in the process, are taking along with them their distinctly Indian management style and philosophy. The globali-



sation of Indian managers has gone beyond software professionals routinely crisscrossing the globe. Stories of breakthroughs in MNCs—Pepsi's Indra Nooyi (far left) or Rajat Gupta at McKinsey—are almost routine news.

Made in India

From Tata's Land Rover to Mahindra's tractors to medicines by Ranbaxy and other pharmaceutical companies, more things produced abroad are Indian made, if not made in India.

WIDER HORIZONS

RATAN TATA Under his leadership the Tata Group is charting a global path of success with the Corus and Jaguar Land Rover deals. The 98 group firms have annual revenues of \$71 bn, of which 65 per cent come from foreign operations.



KUMAR MANGALAM BIRLA At 42, he has transformed a hidebound conglomerate into a modern commodities giant. The Aditya Birla Group today has manufacturing operations in nine countries and product sales in over 100.



L.N. MITTAL Many metal makers lack the mettle of ArcelorMittal. It is the largest steel-maker in the world, producing more than 100 million tonnes annually. CEO and founder Mittal has blazed through this decade making a number of gigantic acquisitions, the largest being that of the Franco-Belgian amalgam Arcelor.



has not seen much appetite for acquisitions by companies in the commodities category. But, hopefully the next big deals will be in this space. It comes as no surprise to me that Reliance Industries has bid for LyondellBasell. A company of their size could not have bid for anything smaller. They are well-equipped to make it a success and they do not overpay. But if there is one lesson from the slowdown, it teaches companies not to fritter away their capital on companies that do not belong to the sector in which they have a core competence. We have, however, benefited from acquisitions abroad. We have built up a breed of global Indian managers who excel in handling deals of various sizes, complexities and in diverse geographies. Yes, Ratan Tata has hinted that his successor may be an expat, but any manager, whether Indian or expat who has to drive Indian investments abroad and has to be global in perspective. An Indian manager will have to have the experience of working in conglomerates and know the way such multinationals work—their ethic, principles and styles. Similarly, a foreign CEO will have to be sensitive to Indian culture and values. As more Indian companies invest overseas and foreign companies increase their investments into the country, the cross-flow of people and understanding of cultures can only get better. Indian companies, like the Tatas and Mahindras, are doing the right thing in sending their talent abroad to nurture the global workforce of the future.

The best deal for CEOs and managers amidst all this excitement to invest abroad, is the exposure that we get from sitting on global boards. Today, there are Indians in various foreign boards—whether Unilever or HSBC. As a non-ex-

ecutive Director on the Board of Nestle SA, I can say that it is like a classroom experience and gives an idea of how MNCs work, providing an opportunity to network with global brains and carry forward India's prestige in the international community. This way a management will evolve, which will have the global experience, social networking skills and the ability to think like other board members—all of which will help in negotiating deals and building Indian MNCs.

There is, however, a lot of space to occupy still. Though Indian acquisitions grab headlines, they are only a small portion of global deals in size and value. India has to translate its ambitions to spread its footprints wider by actual groundwork. It still remains a difficult destination to do business. China's ability to drive things stems from the big scale on which it does things, whether at home or in its acquisitions. Now it is India's biggest trade partner and the synergies that will flow from the increased engagement will be to India's benefit.

As the world advances towards a more truly global marketplace, concerns over cross-border M&As and their political, economic, and national security implications are on the rise, especially in the wake of incidents like 26/11. To ensure that terror does not cast its shadow over India's prospects, cross-border deals must be made with careful consideration. We must respect diversity and make sure that we do not single out any single community.

as told to Nivedita Mukherjee

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